

Regulatory Summary Report

Comprehensive Inventory of Board-Level Obligations for Category I GSIBs

General Board Obligations

- 1. Corporate Governance and Oversight:** The board is responsible for establishing an appropriate corporate culture and code of ethics <https://document-store.reg-genome.com/28ebf61c43f2ce5aa6f90e9472053360/file?auth=uwGdVHZYxGDEifkN#page=5>. The board must comply with fiduciary duties and the law, select, retain, and oversee management, and ensure succession planning <https://document-store.reg-genome.com/28ebf61c43f2ce5aa6f90e9472053360/file?auth=uwGdVHZYxGDEifkN#page=5>. The board must oversee compensation and benefits arrangements, including incentive compensation <https://document-store.reg-genome.com/28ebf61c43f2ce5aa6f90e9472053360/file?auth=uwGdVHZYxGDEifkN#page=5>. The board must maintain appropriate affiliate and holding company relationships <https://document-store.reg-genome.com/28ebf61c43f2ce5aa6f90e9472053360/file?auth=uwGdVHZYxGDEifkN#page=5>. The board must establish and maintain an appropriate board structure and perform board self-assessments <https://document-store.reg-genome.com/28ebf61c43f2ce5aa6f90e9472053360/file?auth=uwGdVHZYxGDEifkN#page=5>. The board must exercise sound, independent business judgment, which includes candid, open discussion of bank business, documentation of decisions and expression of dissent within the board minutes, and maintaining confidentiality and integrity <https://document-store.reg-genome.com/1f9c14a37de074c0e8a605f0c2076487/file?auth=uwGdVHZYxGDEifkN#page=765>. The board must direct the bank in a prudent manner by establishing goals, policies, and strategies, hiring suitable management to implement these goals, monitoring management's compliance with board directives, and disciplining or dismissing management as necessary <https://document-store.reg-genome.com/1f9c14a37de074c0e8a605f0c2076487/file?auth=uwGdVHZYxGDEifkN#page=765>. The board must adhere to ethical conduct and policy, including compliance with Regulation O and representing the bank in the community <https://document-store.reg-genome.com/1f9c14a37de074c0e8a605f0c2076487/file?auth=uwGdVHZYxGDEifkN#page=765>. The board must actively oversee the covered bank's risk-taking activities and hold management accountable for adhering to the risk governance framework <https://document-store.reg-genome.com/3729ebb8d2a3c5be69d3184c16bd49a1/file?auth=uwGdVHZYxGDEifkN#page=24>. The board must provide active oversight of management <https://document-store.reg-genome.com/9de95fa3c4740d576bd8103a28d2d623/file?auth=uwGdVHZYxGDEifkN#page=70>. The board must exercise independent judgment <https://document-store.reg-genome.com/9de95fa3c4740d576bd8103a28d2d623/file?auth=uwGdVHZYxGDEifkN#page=70>. The board must include independent directors <https://document-store.reg-genome.com/9de95fa3c4740d576bd8103a28d2d623/file?auth=uwGdVHZYxGDEifkN#page=70>. The board must provide ongoing training to all directors <https://document-store.reg-genome.com/9de95fa3c4740d576bd8103a28d2d623/file?auth=uwGdVHZYxGDEifkN#page=70>. The board must conduct self-assessments <https://document-store.reg-genome.com/9de95fa3c4740d576bd8103a28d2d623/file?auth=uwGdVHZYxGDEifkN#page=70>.
- 2. Informed Decision-Making:** Directors must be informed of all facets of the bank's operations, regulatory environment, and competitive environment. This includes reviewing management reports, UBPRs, reports of examination and visitation, internal and external audit reports, trade publications, seminars, and meetings <https://document-store.reg-genome.com/1f9c14a37de074c0e8a605f0c2076487/file?auth=uwGdVHZYxGDEifkN#page=765>.

3. **Personal Liability:** Directors can be personally liable for losses arising from legal lending limit violations, insider transactions, and bank failures. They may also face civil monetary penalties and civil suits from shareholders for breaches of fiduciary duty <https://document-store.reg-genome.com/1f9c14a37de074c0e8a605f0c2076487/file?auth=uwGdVHZYxGDEifkN#page=765>.

Specific Committee Obligations

1. **Audit Committee:** The audit committee must consist of outside directors, the majority of whom shall be independent of management <https://document-store.reg-genome.com/05aa8384638f4a65fcf6b0ab551e80da/file?auth=uwGdVHZYxGDEifkN#page=125>. The audit committee must consist entirely of independent outside directors <https://document-store.reg-genome.com/05aa8384638f4a65fcf6b0ab551e80da/file?auth=uwGdVHZYxGDEifkN#page=125>. The audit committee must consist entirely of independent outside directors and may be satisfied at the holding company level <https://document-store.reg-genome.com/05aa8384638f4a65fcf6b0ab551e80da/file?auth=uwGdVHZYxGDEifkN#page=125>. The audit committee must consist entirely of independent outside directors, include members with banking and related financial management expertise, have access to its own outside counsel, and not include large customers of the bank <https://document-store.reg-genome.com/05aa8384638f4a65fcf6b0ab551e80da/file?auth=uwGdVHZYxGDEifkN#page=125>. The audit committee must consist entirely of independent outside directors, include members with banking and related financial management expertise, have access to its own outside counsel, and not include large customers of the bank <https://document-store.reg-genome.com/05aa8384638f4a65fcf6b0ab551e80da/file?auth=uwGdVHZYxGDEifkN#page=125>. The audit committee is responsible for overseeing the bank's financial reporting process and internal controls <https://document-store.reg-genome.com/28ebf61c43f2ce5aa6f90e9472053360/file?auth=uwGdVHZYxGDEifkN#page=5>. The audit committee should ensure that internal audit maintains a complete and current inventory of all of the covered bank's material processes, product lines, services, and functions, and assesses the risks associated with each. The audit committee should also ensure that internal audit's reports identify the root cause of any material issues and address other specified matters <https://document-store.reg-genome.com/732f6ae91832fc3dbcd89690df2b4d9c/file?auth=uwGdVHZYxGDEifkN#page=24>.
2. **Risk Committee:** Bank holding companies with total consolidated assets of \$50 billion or more must maintain a risk committee that approves and periodically reviews the risk-management policies of the bank holding company's global operations and oversees the operation of the bank holding company's global risk-management framework <https://document-store.reg-genome.com/27eac8269b006df2c6aa2baa751f2dd0/file?auth=uwGdVHZYxGDEifkN#page=15>. The risk committee is responsible for overseeing the bank's risk management processes and ensuring that the bank has adequate risk management systems in place <https://document-store.reg-genome.com/28ebf61c43f2ce5aa6f90e9472053360/file?auth=uwGdVHZYxGDEifkN#page=5>. The risk committee must receive and review regular reports from the chief risk officer on a quarterly basis and meet at least quarterly to document and maintain records of its proceedings, including risk management decisions <https://document-store.reg-genome.com/27eac8269b006df2c6aa2baa751f2dd0/file?auth=uwGdVHZYxGDEifkN#page=15>.
3. **Compensation Committee:** The compensation committee is responsible for overseeing the bank's compensation policies and practices, including incentive compensation arrangements <https://document-store.reg-genome.com/28ebf61c43f2ce5aa6f90e9472053360/file?auth=uwGdVHZYxGDEifkN#page=5>.
4. **Nominating or Governance Committee:** The nominating or governance committee is responsible for overseeing the board's composition, qualifications, and selection processes <https://document-store.reg-genome.com/28ebf61c43f2ce5aa6f90e9472053360/file?auth=uwGdVHZYxGDEifkN#page=5>.

Distinctions Between Inside and Outside Directors

1. **Inside Directors:** Inside directors are typically involved in the day-to-day operations of the bank and may have a more direct role in implementing board decisions <https://document-store.reg-genome.com/28ebf61c43f2ce5aa6f90e9472053360/file?auth=uwGdVHZYxGDEifkN#page=5>.
- 2.

Outside Directors: Outside directors provide independent oversight and may have a more advisory role in the bank's governance <https://document-store.reg-genome.com/28ebf61c43f2ce5aa6f90e9472053360/file?auth=uwGdVHZYxGDEifkN#page=5>. At least two members of the board of directors should qualify as independent directors under the listing standards of a national securities exchange, as demonstrated to the satisfaction of the OCC <https://document-store.reg-genome.com/3729ebb8d2a3c5be69d3184c16bd49a1/file?auth=uwGdVHZYxGDEifkN#page=24>.

Regulatory Domains

- 1. Capital Planning and Stress Testing:** The board must ensure that the bank has adequate capital planning and stress testing processes in place <https://document-store.reg-genome.com/28ebf61c43f2ce5aa6f90e9472053360/file?auth=uwGdVHZYxGDEifkN#page=5>. GSIBs must calculate their method 1 score and method 2 score annually using data reported on the firm's Banking Organization Systemic Risk Report (FR Y-15) as of December 31 of the previous calendar year. The method 2 score must be calculated using systemic indicator amounts expressed in billions of dollars <https://document-store.reg-genome.com/2082017a660bb259784bdfb33bd0c568/file?auth=uwGdVHZYxGDEifkN#page=1>. The Federal Reserve's GSIB surcharge rule establishes a methodology to identify globally systemically important bank holding companies. This rule is part of the broader regulatory framework aimed at ensuring that GSIBs maintain adequate capital levels to mitigate systemic risk <https://document-store.reg-genome.com/a55b22433903106ad7955263c9d3fc56/file?auth=uwGdVHZYxGDEifkN#page=1>.
- 2. Liquidity Risk Management:** The board must oversee the bank's liquidity risk management processes and ensure that the bank has adequate liquidity risk management systems in place <https://document-store.reg-genome.com/28ebf61c43f2ce5aa6f90e9472053360/file?auth=uwGdVHZYxGDEifkN#page=5>. The board must oversee liquidity risk management standards, which include the Liquidity Coverage Ratio (LCR) and the Net Stable Funding Ratio (NSFR). These standards are designed to ensure that banks maintain sufficient liquid assets to meet their short-term and long-term liquidity needs <https://document-store.reg-genome.com/a7371d5b24b0eec0ee5220484453d0b1/file?auth=uwGdVHZYxGDEifkN#page=153>.
- 3. Resolution Planning:** The board must ensure that the bank has adequate resolution planning processes in place <https://document-store.reg-genome.com/28ebf61c43f2ce5aa6f90e9472053360/file?auth=uwGdVHZYxGDEifkN#page=5>. The board must oversee the resolution planning process, which involves developing a plan to resolve the bank in an orderly manner in the event of failure. This includes ensuring that the bank has a credible resolution strategy and that it can be implemented without causing systemic disruption <https://document-store.reg-genome.com/a7371d5b24b0eec0ee5220484453d0b1/file?auth=uwGdVHZYxGDEifkN#page=153>.
- 4. Recovery Planning:** The board must oversee the bank's recovery planning processes and ensure that the bank has adequate recovery planning systems in place <https://document-store.reg-genome.com/28ebf61c43f2ce5aa6f90e9472053360/file?auth=uwGdVHZYxGDEifkN#page=5>. The board must oversee the recovery planning process, which involves developing a plan to restore the bank to financial health in the event of financial distress. This includes ensuring that the bank has a credible recovery strategy and that it can be implemented without causing systemic disruption <https://document-store.reg-genome.com/a7371d5b24b0eec0ee5220484453d0b1/file?auth=uwGdVHZYxGDEifkN#page=153>.
- 5. Operational Resilience:** The board must ensure that the bank has adequate operational resilience processes in place <https://document-store.reg-genome.com/28ebf61c43f2ce5aa6f90e9472053360/file?auth=uwGdVHZYxGDEifkN#page=5>. The board must oversee operational resilience, which involves ensuring that the bank has the ability to continue operating through business disruptions. This includes developing and maintaining a robust business continuity plan and ensuring that the bank has the necessary resources to recover from disruptions <https://document-store.reg-genome.com/a7371d5b24b0eec0ee5220484453d0b1/file?auth=uwGdVHZYxGDEifkN#page=153>.
- 6. Model Risk Governance:** The board must oversee the bank's model risk governance processes and ensure that the bank has adequate model risk management systems in place <https://document-store.reg-genome.com/28ebf61c43f2ce5aa6f90e9472053360/file?auth=uwGdVHZYxGDEifkN#page=5>. The board must oversee model risk governance, which involves ensuring that the bank's models are accurate, reliable, and

used appropriately. This includes developing and maintaining a robust model risk management framework and ensuring that the bank has the necessary resources to validate and challenge its models <https://document-store.reg-genome.com/a7371d5b24b0eec0ee5220484453d0b1/file?auth=uwGdVHZYxGDEifkN#page=153>.

7. **Third-Party Risk Management:** The board must oversee the bank's third-party risk management processes and ensure that the bank has adequate third-party risk management systems in place <https://document-store.reg-genome.com/28ebf61c43f2ce5aa6f90e9472053360/file?auth=uwGdVHZYxGDEifkN#page=5>. The board must oversee third-party risk management, which involves ensuring that the bank manages the risks associated with its third-party relationships. This includes developing and maintaining a robust third-party risk management framework and ensuring that the bank has the necessary resources to monitor and manage these risks <https://document-store.reg-genome.com/a7371d5b24b0eec0ee5220484453d0b1/file?auth=uwGdVHZYxGDEifkN#page=153>.
8. **Incentive Compensation:** The board must oversee the bank's incentive compensation arrangements and ensure that they are aligned with the bank's risk management and long-term interests <https://document-store.reg-genome.com/28ebf61c43f2ce5aa6f90e9472053360/file?auth=uwGdVHZYxGDEifkN#page=5>. The board must oversee incentive compensation programs, which involve ensuring that the bank's compensation practices do not encourage excessive risk-taking. This includes developing and maintaining a robust incentive compensation framework and ensuring that the bank has the necessary resources to monitor and manage these risks <https://document-store.reg-genome.com/a7371d5b24b0eec0ee5220484453d0b1/file?auth=uwGdVHZYxGDEifkN#page=153>.
9. **Cybersecurity Governance:** The board must oversee the bank's cybersecurity governance processes and ensure that the bank has adequate cybersecurity risk management systems in place <https://document-store.reg-genome.com/28ebf61c43f2ce5aa6f90e9472053360/file?auth=uwGdVHZYxGDEifkN#page=5>. The board must oversee cybersecurity governance, which involves ensuring that the bank has a robust cybersecurity program in place. This includes developing and maintaining a robust cybersecurity framework and ensuring that the bank has the necessary resources to monitor and manage cybersecurity risks <https://document-store.reg-genome.com/a7371d5b24b0eec0ee5220484453d0b1/file?auth=uwGdVHZYxGDEifkN#page=153>.
10. **BSA and AML Program Oversight:** The board must oversee the bank's Bank Secrecy Act (BSA) and Anti-Money Laundering (AML) program and ensure that the bank has adequate BSA and AML risk management systems in place <https://document-store.reg-genome.com/28ebf61c43f2ce5aa6f90e9472053360/file?auth=uwGdVHZYxGDEifkN#page=5>. The board must oversee the Bank Secrecy Act (BSA) and Anti-Money Laundering (AML) program, which involves ensuring that the bank has a robust BSA/AML program in place. This includes developing and maintaining a robust BSA/AML framework and ensuring that the bank has the necessary resources to monitor and manage BSA/AML risks <https://document-store.reg-genome.com/a7371d5b24b0eec0ee5220484453d0b1/file?auth=uwGdVHZYxGDEifkN#page=153>.
11. **Consumer Compliance Oversight:** The board must oversee the bank's consumer compliance programs and ensure that the bank is in compliance with all applicable consumer protection laws and regulations <https://document-store.reg-genome.com/28ebf61c43f2ce5aa6f90e9472053360/file?auth=uwGdVHZYxGDEifkN#page=5>. The board must oversee consumer compliance, which involves ensuring that the bank complies with all applicable consumer protection laws and regulations. This includes developing and maintaining a robust consumer compliance framework and ensuring that the bank has the necessary resources to monitor and manage consumer compliance risks <https://document-store.reg-genome.com/a7371d5b24b0eec0ee5220484453d0b1/file?auth=uwGdVHZYxGDEifkN#page=153>.
12. **Safety and Soundness Standards:** The board must ensure that the bank operates in a safe and sound manner and complies with all applicable safety and soundness standards <https://document-store.reg-genome.com/28ebf61c43f2ce5aa6f90e9472053360/file?auth=uwGdVHZYxGDEifkN#page=5>.

Enforcement and Supervision

1. Enforcement Actions:

The board must be aware of enforcement actions that may be taken against

the bank or its directors for violations of laws and regulations <https://document-store.reg-genome.com/9de95fa3c4740d576bd8103a28d2d623/file?auth=uwGdVHZYxGDEifkN#page=70>.

How to Achieve Compliance

1. **Establish a Robust Risk Management Framework:** Ensure that the risk management framework is commensurate with the bank's structure, risk profile, complexity, activities, and size. This includes policies and procedures for risk management governance, risk management procedures, and risk control infrastructure <https://document-store.reg-genome.com/27eac8269b006df2c6aa2baa751f2dd0/file?auth=uwGdVHZYxGDEifkN#page=15>.
2. **Regular Reporting and Review:** The risk committee must receive and review regular reports from the chief risk officer on a quarterly basis and meet at least quarterly to document and maintain records of its proceedings, including risk management decisions <https://document-store.reg-genome.com/27eac8269b006df2c6aa2baa751f2dd0/file?auth=uwGdVHZYxGDEifkN#page=15>.
3. **Independent Risk Management Function:** Ensure the independence of the risk management function and integrate risk management and associated controls with management goals and compensation structure <https://document-store.reg-genome.com/27eac8269b006df2c6aa2baa751f2dd0/file?auth=uwGdVHZYxGDEifkN#page=15>.
4. **Compliance with Capital Requirements:** Continuously monitor and comply with risk-based capital surcharges and other capital requirements as mandated by the Federal Reserve <https://document-store.reg-genome.com/2082017a660bb259784bdfb33bd0c568/file?auth=uwGdVHZYxGDEifkN#page=1>.
5. **Reliance on Risk Assessments and Reports:** The board of directors may rely on risk assessments and reports prepared by independent risk management and internal audit to support the board's ability to question, challenge, and when necessary, oppose recommendations and decisions made by management <https://document-store.reg-genome.com/3729ebb8d2a3c5be69d3184c16bd49a1/file?auth=uwGdVHZYxGDEifkN#page=24>.
6. **Training Program:** The board should establish a formal, ongoing training program that includes training on complex products, services, lines of business, and risks that have a significant impact on the covered bank <https://document-store.reg-genome.com/3729ebb8d2a3c5be69d3184c16bd49a1/file?auth=uwGdVHZYxGDEifkN#page=24>.
7. **Self-Assessment Process:** The board should conduct an annual self-assessment that includes an evaluation of its effectiveness in meeting the standards in the relevant guidelines <https://document-store.reg-genome.com/3729ebb8d2a3c5be69d3184c16bd49a1/file?auth=uwGdVHZYxGDEifkN#page=24>.

This inventory provides a comprehensive overview of the obligations imposed on the boards of directors of Category I GSIBs and their insured depository institution subsidiaries, covering all major regulatory domains and ensuring compliance with federal regulations and agency guidance.